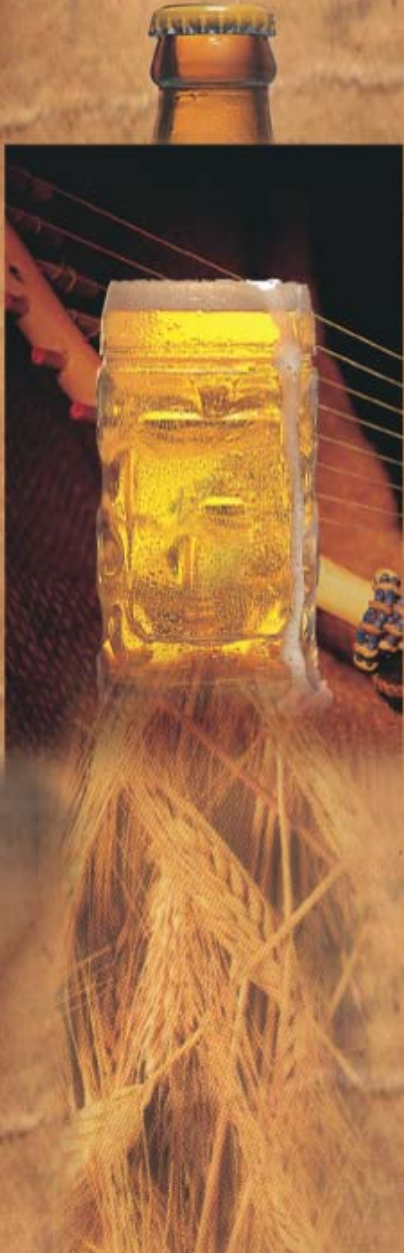




# Building on a growth platform

**Six months to December 2004**

Nairobi, 4 February 2005

Also available at [www.eabrew.com](http://www.eabrew.com)

# Today's Agenda

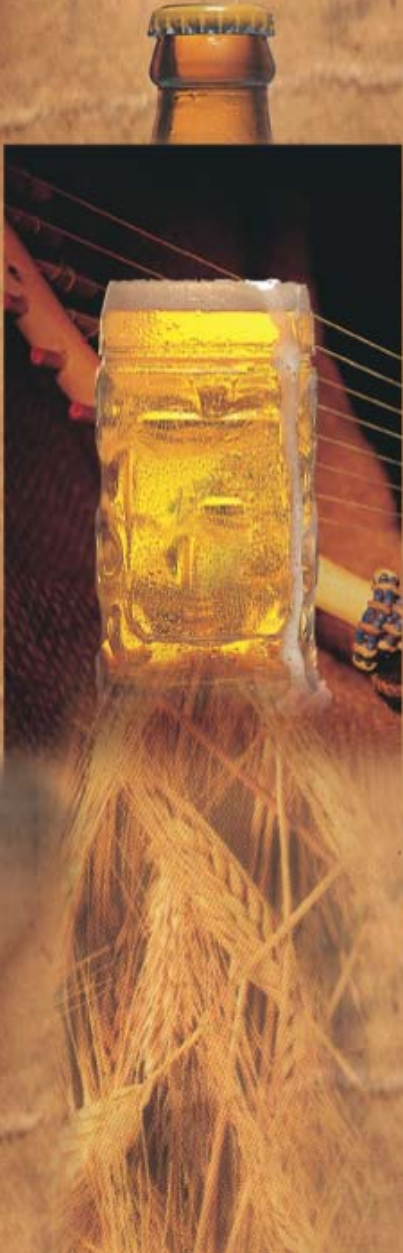
**Part 1:** Overview - Group  
Managing Director

**Part 2:** Financial results - Group  
Head of Finance

**Part 3:** Q&A session

# Part 1: Overview

**Gerald Mahinda**  
**Group Managing Director**





# The Economic Operating Environment

## Kenya:

- GDP growth for 2004 was 2.4%
- Positive signs about the economy – no indication that economy will not achieve at least similar growth in 2005
- Underlying inflation & interest rates were under pressure
- Exchange rate has come under pressure but has recovered
- In December, the IMF released US\$77m to Kenya under the Poverty Reduction and Growth Facility

## Uganda:

- GDP growth for 2004 was 5%. Upcoming elections (2006) + third term discussion
- Headline inflation has risen to 8%. The shilling has strengthened
- Excise duty on spirits increased by 33% in July but the beer market was static in 2004



# The Economic Operating Environment

## Tanzania:

- Growth forecast at 6.3% but economy very dependent on external funding
- 2005 is an election year
- Inflation to remain stable. The shilling has gained some ground
- Overall beer market is growing

## Common External Tariffs(CET)

- CET now in place but some initial teething problems
- Kenya will lose revenue in the short term but will gain in the longer term. Uganda and Tanzania will benefit from free access of goods into Kenya.
- Impact on EABL will not be significant (+ve or -ve)

# Market Outlook: Polarised – our challenge is how to profitably migrate consumers (to branded sector)

|                 |                                                                                                                                                                                                                  |                                                                                                                                                                                   |
|-----------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Spirits & other | <ul style="list-style-type: none"><li>✓ Industry fragmented</li><li>✓ Sachets ban in Kenya</li><li>✓ Tax increase in Uganda</li><li>✓ Low barriers to entry in spirits, especially in the value sector</li></ul> | <ul style="list-style-type: none"><li>➤ Traditional or illicit</li><li>➤ Higher volume</li><li>➤ Cheap spirits</li><li>➤ Unregulated or untaxed</li><li>➤ Health issues</li></ul> |
| Beer            | <ul style="list-style-type: none"><li>✓ Volumes on the up in Kenya</li><li>✓ Uganda volumes static</li><li>✓ Competition from other drinks in Kenya and from Nile in Uganda</li></ul>                            | <ul style="list-style-type: none"><li>➤ Traditional/illicit brews</li><li>➤ High volumes</li><li>➤ Cheap</li><li>➤ Health issues</li></ul>                                        |
| Branded         |                                                                                                                                                                                                                  | Non branded                                                                                                                                                                       |

# Key highlights: last 12 months

## ❖ We have had an excellent year: Highlights

- ❖ **Kenya:** Beer volumes up: the first real increase in the last decade (19%)
- ❖ **Uganda:** Best December ever (vol up 4%) despite a static market resulting in higher share
- ❖ **Tanzania:** The overall market grew (increasing our share of TBL profits) but our brands delivered mixed results.
- ❖ **Spirits:** Shown resilience (and delivered modest top line growth 7% in Kenya and 4% in Uganda) despite adverse external factors:
  - ❖ The banning of sachets in Kenya. This wiped out 60% of spirits market (we have increased our share from 20% to 35-40% but of a smaller market)
  - ❖ A 33% excise tax increase in Uganda in July 04 + competition from low value offerings
- ❖ Excellent **half year** - all businesses delivered strong underlying profits
- ❖ **Strong cash position** (Kshs 7.5bn or US\$95m) & strong working capital
- ❖ Our **market capitalisation** now approx US\$900m making up approx 20% of the market capitalisation at the stock exchange

# Key highlights: last 12 months continued

## ❖ What has gone well:

- ❖ Implemented our growth strategy: Focused on growing our top line with aggressive marketing, innovative products and aggressive sales:
  - ❖ Kenya : Growth in all key brands and a record Dec in Kenya. Senator now 9% of the portfolio, Senator keg doing well
  - ❖ Incentive in KBL and UBL for staff and trade partners
  - ❖ Uganda: A record December: Senator beer, brewed from local barley launched
  - ❖ Our spirits business weathered a turbulent six months to deliver growth
  - ❖ Improved margins for KBL and EABL
- ❖ Invested approx US\$ 30million in the last 12 months in our plants.
  - ❖ In Kenya, new bottling line delivering efficiencies & enhanced quality. We will shortly commission a new brew house
  - ❖ In Uganda we have invested to stabilise and secure reliability of supply
  - ❖ Installing effluent plants in all our plants
- ❖ Continued focus on the external affairs agenda (See separate page)
- ❖ Maintained our position as EA most respected company for the fifth year in a row & were awarded for being the highest tax payer in Kenya
- ❖ Successfully implemented a capital re-construction programme at EABL (share split and bonus issue – led to a rise of 20% in market cap)



# External affairs

- Promoting responsible consumption of alcohol
- Launch of new policy to fight HIV/AIDS for employees (Kenya and Uganda)
- Prisons Medical camp (medical attention for inmates)
- Guinness Strathmore scholarships
- Water for life projects in Kenya
- The local Barley project in Uganda
- CSR launch in Uganda
- Kabale water project in Uganda
- Tax lobbying in Kenya (to reduce the high rate of tax+ more targeted) + discussions on excise in Uganda
- Listing in Tanzania



R. Chambers of UBL inspects the barley crop with M. Wood of USAid.

UBL's Operations Director, Richard Chambers, and Kenya Maltings' MD, Tony Joyce, witness the first barley payment made by UGT to the Kapchorwa farmers.





# DRINK RESPONSIBLY. LIVE RESPONSIBLY

[www.eabrow.com](http://www.eabrow.com)



## STAY IN CONTROL

KNOW YOUR LIMIT AND SPACE YOUR DRINKS THROUGHOUT THE EVENING



## WATER, WATER!

ALTERNATE YOUR DRINKS WITH WATER TO STAY REFRESHED



## A BITE TO EAT

EATING BEFORE OR WHILST DRINKING SLOWS ALCOHOL ABSORPTION



## SPACERS

SOFT DRINK 'SPACERS' BETWEEN DRINKS CAN HELP PACE AN EVENING



## TOP-UPS

AVOID TOP-UPS SO YOU CAN KEEP TRACK OF HOW MANY DRINKS YOU HAVE CONSUMED



## DRIVE TIME

THINK ABOUT HOW YOU'RE GOING TO GET HOME BEFORE YOU LEAVE HOME-GRAB A CAB OR DESIGNATE A DRIVER

EXCESSIVE CONSUMPTION OF ALCOHOL IS DANGEROUS TO YOUR HEALTH

ALCOHOL MAY INTERFERE WITH YOUR ABILITY TO DRIVE

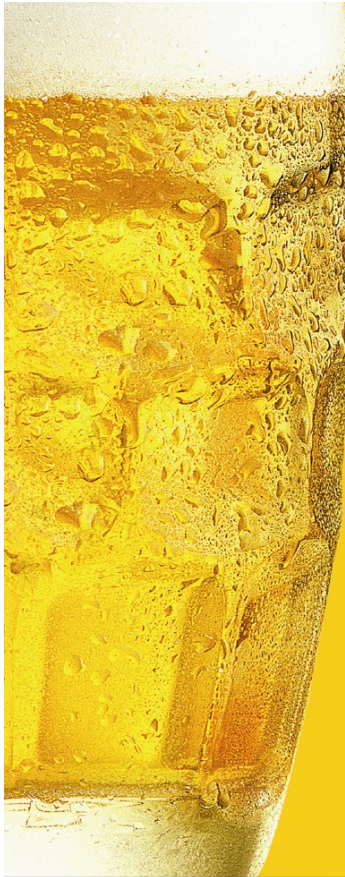


THIS IS A GUIDE TO RESPONSIBLE DRINKING



**KNOW  
YOUR  
LIMIT**

**DRINK RESPONSIBLY  
LIVE RESPONSIBLY.**



**DON'T  
DRINK  
AND  
DRIVE**

**DRINK RESPONSIBLY  
LIVE RESPONSIBLY.**







The most respected company  
in East Africa Award Year 2004



# Our strategic focus: Next Six months

- Top line growth (value and premium brands in all markets)
- Innovation & renovation in premium & value sector
- Aggressive marketing/sales efforts
- Initiatives to improve the value chain, e.g. distribution
- Use of local raw materials for Senator in Uganda (local barley growing)
- Complete ongoing capex projects, brew house, effluent plants, furnace re-build, utilities in Uganda (projects worth approx US\$30m)
- People agenda – Focus on recruitment and capability building
- Complete integration of UDV into KBL
- Install new spirits packaging line in Kenya
- External Affairs: responsible drinking campaigns and the promotion of socially responsible agenda

## Our Strategic focus: Next 24 months

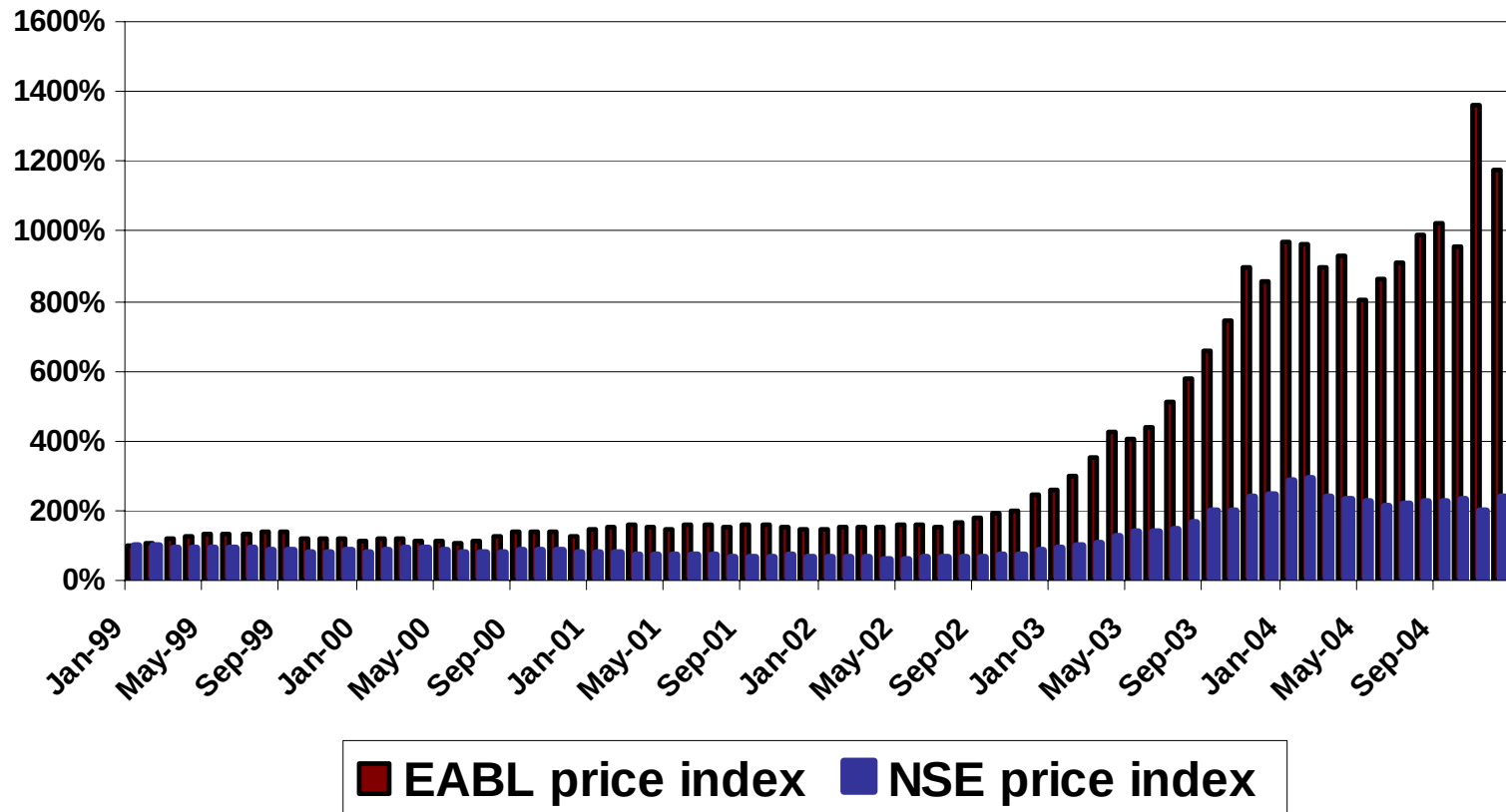
- Inorganic growth
- Focus on a broader product range (incl non alcoholic drinks)
- Innovation & renovation across our product range
- Work with Gov't on excise in Kenya and Uganda
- New ways of working to deliver greater efficiencies
- Building on the use of shared service centre for other back office services. Increased use of IT to deliver changes
- People agenda – we will focus on capability building & retention of the best people
- Invest US\$ 40m in plant & equipment in Kenya and Uganda
- We are in the process of developing a ***new strategy*** to take our business to the next level and will give you further details at y/e

# Challenges to our business going forward

- Difficult operating environment (a large informal market in all our markets)
- A very challenging spirits market (turmoil)
- The challenge of encouraging socially responsible drinking + stakeholder management
- Inorganic growth is challenging (skills, culture etc)
- New market segments (e.g. non alcoholic) – how fast can we build capability?

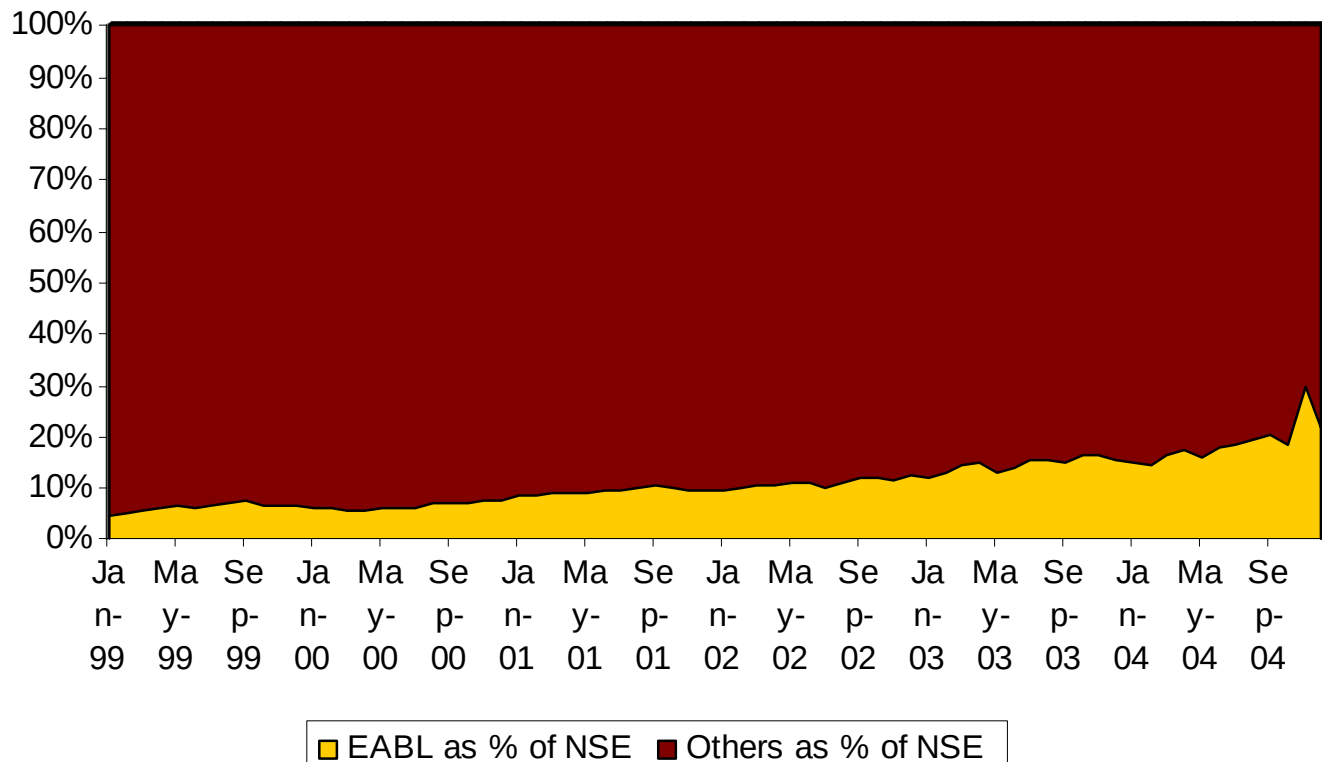


# EABL share has outperformed the NSE...



...and now makes up 20% of the mkt cap

EABL verses rest of NSE as % of overall market cap

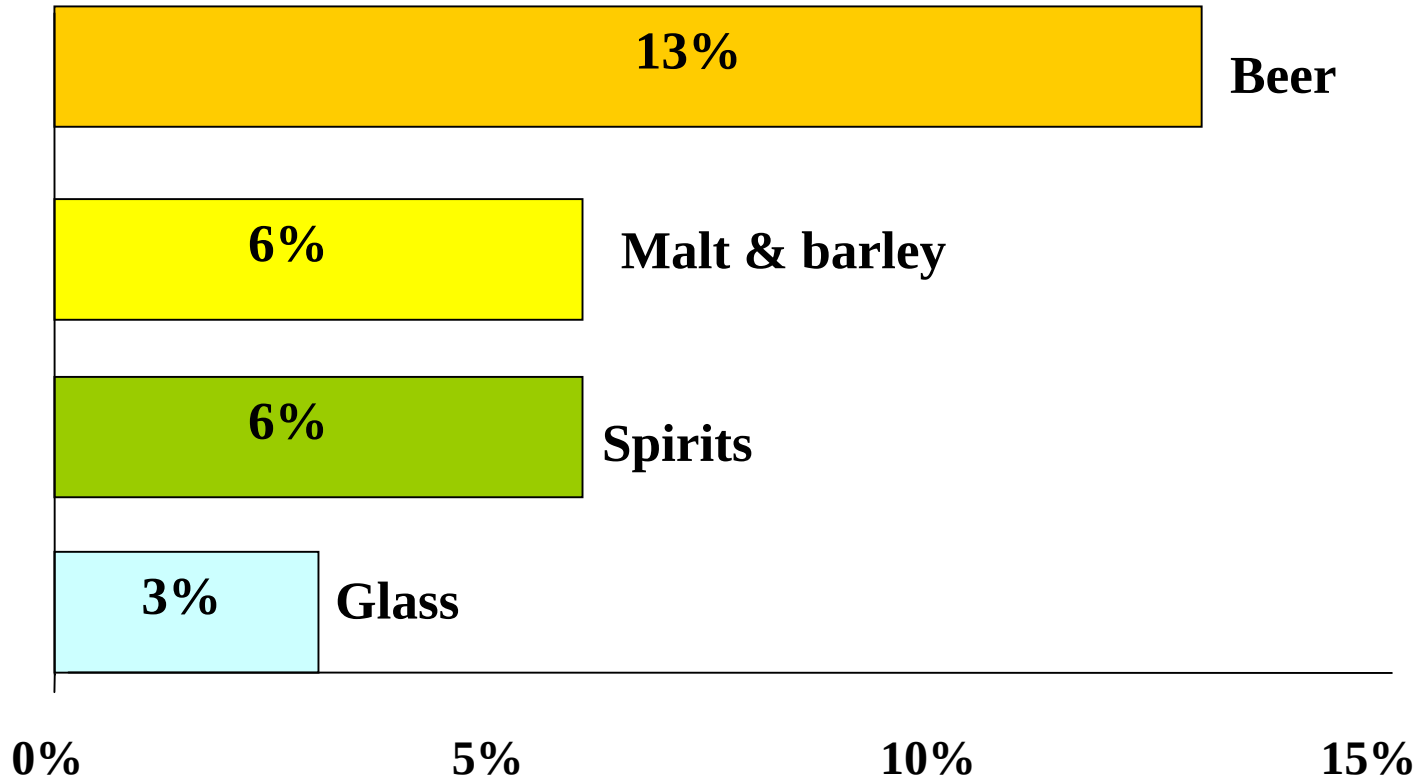


## In summary: An excellent half year

- Strong top line growth + improved margins
- Restructuring benefits (UDV, TZ)
- Plant efficiencies and strong cash position

**Pre-Tax Profits Up by 20.6%**

# Our key message: Top line growth\*



**Volume 2004 HY vs 2003 HY**

**\* With increase in margins**

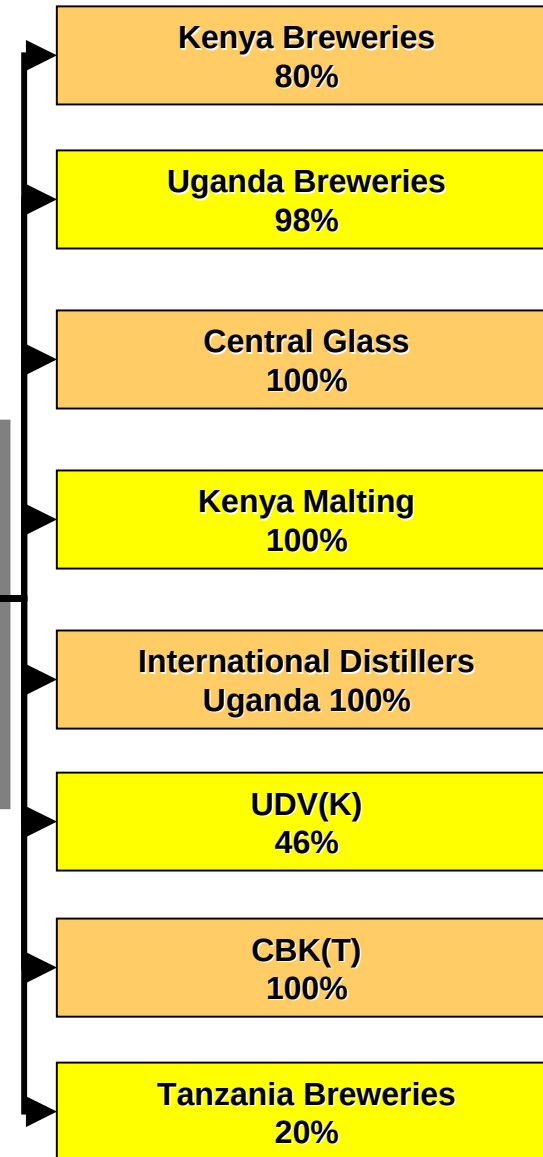


# **Part 2: Financial results**

**Sam Oduor**

**Group Head of Finance**

# EABL & its components



## Segmental Information: KBL

|      | Volume    | NSV    | PBT    |                                                                                     |
|------|-----------|--------|--------|-------------------------------------------------------------------------------------|
| 2004 | 1.340m hl | 6,899m | 3,248m |  |
| VS   |           |        |        |                                                                                     |
| 2003 | 1.128m hl | 5,971m | 2,563m |                                                                                     |

- Beer volumes + 19%: robust tourism and agriculture sectors.
- NSV + 16%: Volume + product mix
- PBT +27% (685m) - volumes & efficiency gains

# Segmental Information: UBL

|      | Volume             | NSV    | PBT  |                                                                                     |
|------|--------------------|--------|------|-------------------------------------------------------------------------------------|
| 2004 | 329k hl (beer)     | 1,970m | 288m |  |
| VS   | 118k 9lc (spirits) |        |      |                                                                                     |
| 2003 | 315k hl (beer)     | 1,508m | 224m |                                                                                     |
|      | 114k 9lc (spirits) |        |      |                                                                                     |

- Volumes: Beer +4%, Spirits +4%
- NSV + 30%: Price increase in July + volume & translation gains (Ushs strengthened against Kshs)
- PBT +64million

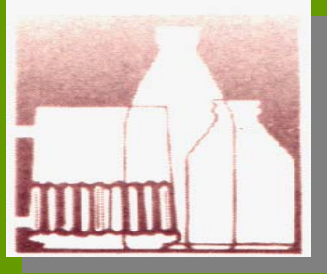
## Segmental Information: UDV

|      | Volume   | NSV  | PBT  |                                                                                     |
|------|----------|------|------|-------------------------------------------------------------------------------------|
| 2004 | 186k 9lc | 719m | 263m |  |
| VS   |          |      |      |                                                                                     |
| 2003 | 174k 9lc | 604m | 267m |                                                                                     |

- Sachets ban
- Volume recovered (glass) to close at +7%
- Sachets write off, higher energy & transport costs



## Segmental Information: CGI

|      | Volume    | NSV  | PBT |                                                                                     |
|------|-----------|------|-----|-------------------------------------------------------------------------------------|
| 2004 | 12,835tns | 478m | 19m |  |
| VS   |           |      |     |                                                                                     |
| 2003 | 12,429tns | 462m | 33m |                                                                                     |

- Volume + 3% (Exports comprise 51%)
- NSV + 3%
- PBT down – cost escalation, especially energy costs: furnace re-build by Sept 05

## Segmental Information: KML

|      | Volume     | NSV  | PBT |                                                                                     |
|------|------------|------|-----|-------------------------------------------------------------------------------------|
| 2004 | 22,001tns  | 770m | 13m |  |
| VS   |            |      |     |                                                                                     |
| 2003 | 20,774 tns | 734m | 64m |                                                                                     |

- Malt and barley + 6% - increased barley volumes, but lower malt
- PBT down – cost escalation arising from lower malt volumes + higher energy and transport costs

## Segmental Information: EABL & Other

| Volume | NSV | PBT  |                 |
|--------|-----|------|-----------------|
| N/A    | N/A | 673m | EABL<br>& other |
| N/A    | N/A | 568m |                 |

(\*) – Represents volumes in Tanzania

- EABL income includes management and royalty fees, share of TBL profits & IDU profits
- Growth in vol in Tanzania + increase in our shares of TBL profits. Our brands are 10.8%

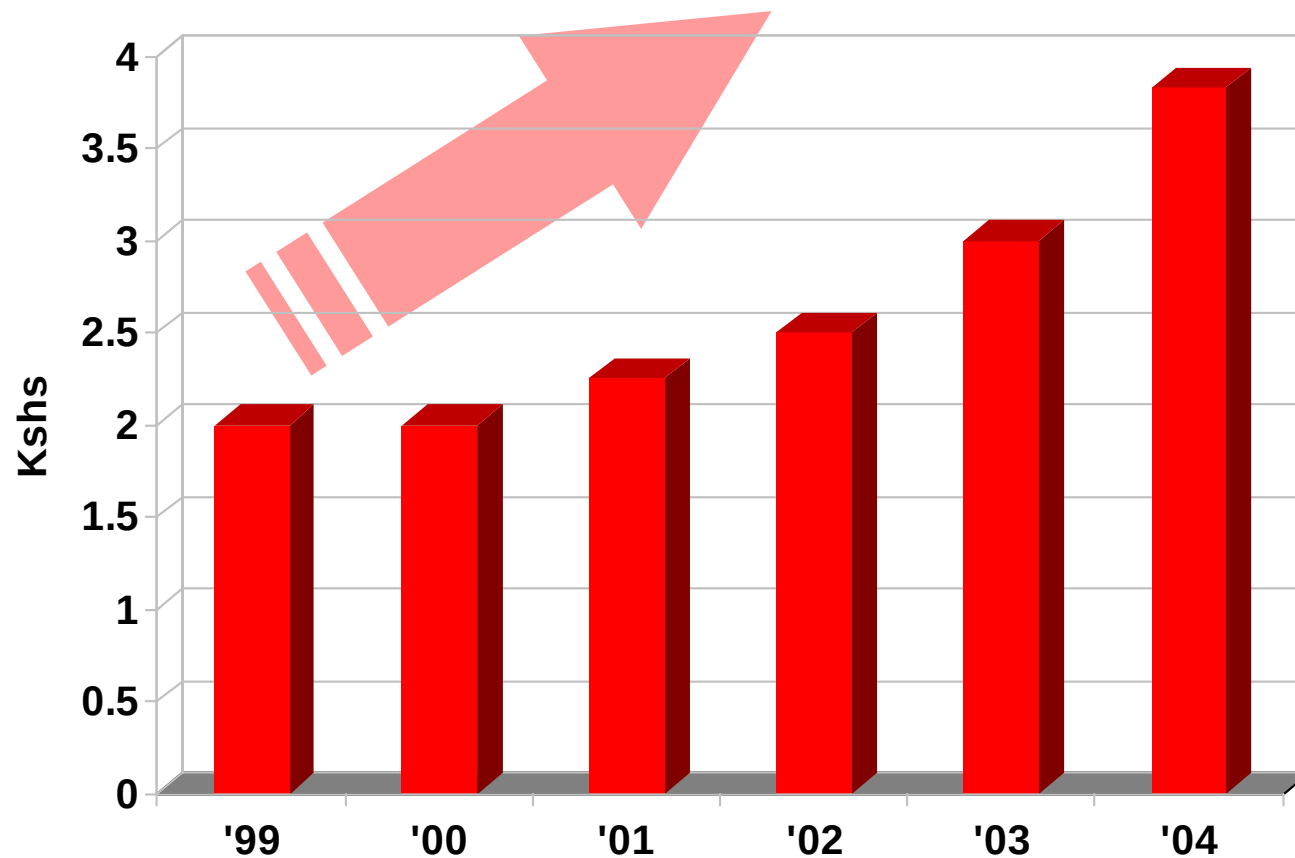
# Consolidated Profit & Loss

| In Kshs Millions                   | Dec 2004      | Dec 2003<br>Restated | Change<br>% |
|------------------------------------|---------------|----------------------|-------------|
| <b>Net Sales Turnover</b>          | <b>10,351</b> | <b>8,414</b>         | <b>23%</b>  |
| Gross profit                       | 6,671         | 5,775                | 16%         |
| <b>Profit from operations</b>      | <b>3,741</b>  | <b>3,180</b>         | <b>18%</b>  |
| Net finance income                 | 192           | 100                  |             |
| Income from associates             | 571           | 439                  | 30%         |
| <b>Profit before taxation</b>      | <b>4,504</b>  | <b>3,719</b>         | <b>21%</b>  |
| Income taxation                    | (1,424)       | (1,175)              | 21%         |
| <b>Profit after taxation</b>       | <b>3,080</b>  | <b>2,544</b>         | <b>21%</b>  |
| <b>Net profit after minorities</b> | <b>2,524</b>  | <b>2,081</b>         | <b>21%</b>  |
| EPS (basic) – KShs                 | 3.83          | 3.16                 | 21%         |

# Consolidated Balance Sheet

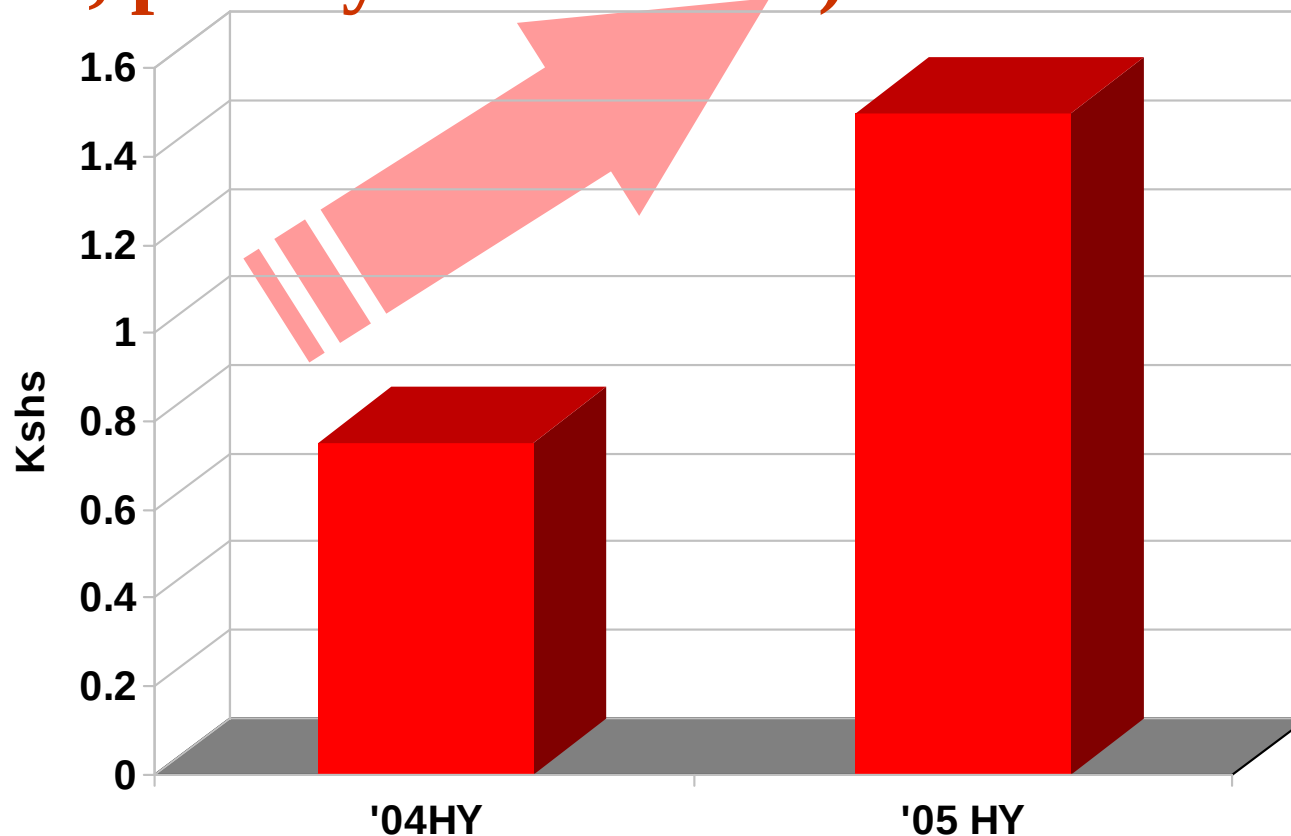
| In Kshs Millions                          | Dec<br>2004          | June<br>2004         | Change<br>%  |
|-------------------------------------------|----------------------|----------------------|--------------|
| <b>Fixed and other non current assets</b> | <b>9,767</b>         | <b>9,774</b>         | <b>(0%)</b>  |
| Stocks                                    | 3,062                | 3,491                |              |
| Debtors                                   | 1,648                | 1,766                |              |
| Other                                     | 171                  | 518                  |              |
| Cash and term deposits                    | 7,495                | 5,223                | 43%          |
| <b>Current assets</b>                     | <b>12,376</b>        | <b>10,998</b>        | <b>12%</b>   |
| <b>TOTAL ASSETS</b>                       | <b><u>22,143</u></b> | <b><u>20,772</u></b> |              |
|                                           |                      |                      |              |
| <b>Shareholder funds</b>                  | <b>14,286</b>        | <b>13,545</b>        | <b>5%</b>    |
| <b>Minority interest</b>                  | <b>1,809</b>         | <b>1,714</b>         | <b>5%</b>    |
| <b>Non current liabilities</b>            | <b>1,424</b>         | <b>1,606</b>         | <b>(11%)</b> |
| <b>Current liabilities</b>                | <b>4,624</b>         | <b>3,907</b>         | <b>18%</b>   |
| <b>TOTAL EQUITY AND LIABILITIES</b>       | <b><u>22,143</u></b> | <b><u>20,772</u></b> |              |

# Interim Dividend Per Share Trends





# Interim Dividend Per Share Trends (post split, prior year restated)



The EABL Directors recommend an interim dividend of Kshs1.5 per share (Kshs 0.75 last year as restated).



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